Management Prep - STX (Seagate Technology) - 2026-10-29

Variables: Nearline EB shipments; Revenue per TB ($/TB); HAMR / Mozaic ramp; Gross margin; Pricing posture (BTO / LTAs); Capex; Seagate unit capacity; Competitor capacity (WDC / Toshiba)

- Corpus: 8 earnings calls (FQ2'25 to FQ1'27), 10 conference transcripts from the trailing 12 months, and the 2025-05-22 Investor Day transcript (Quartr). Dates come from Quartr event metadata.
- The Investor Day was read directly from its Quartr transcript; the full analyst-day skill (slides plus a separate Notion page) was not run. Its targets are folded into each variable as [Analyst Day].
- FQ1'27 gross margin: the transcript shows both 57.8% and 67.8%. 57.8% reconciles (52.7% + 510bp, and 50.7% op margin on ~$300M opex), so 57.8% is used. Verify against the release.
- Some analyst-derived figures (price/EB +10%, mid-teens, HAMR >20% of EB) were cited by sell-side hosts and not disputed by management. They are labelled as such.
- The 2026-08-25 Six Five Summit contained no quantitative commentary on these variables.

Legend: ▲ positive inflection; ▼ negative inflection; R = Reported (actuals); F = Forward.

1. Per-variable dated log

Nearline EB shipments

- **2025-01-21** - Earnings - Reported - Mass-capacity 140 EB (+9% q/q); nearline 126 EB, now including VIA; CY24 nearline EB ~+60%.
- **2025-01-21** - Earnings - Forward - 'Exabytes are going to continue to grow'; cloud capex ~+50% in CY24 and expected up again in CY25.
- **2025-04-29** - Earnings - Reported - Mass-capacity 133 EB (-5% q/q, +50% y/y); nearline 120 EB (+55% y/y); 24/28TB PMR EB ~+60% q/q.
- **2025-04-29** - Earnings - Forward - Nearline demand 'strong through calendar 2025'; visibility 'into the first half of calendar 2026'.
- **2025-05-22** - Analyst Day - Forward - 'Mid-20s' data-center EB CAGR for the next decade; 7.2 ZB of new nearline needed over four years; 550 EB shipped LTM.
- **2025-07-29** - Earnings - Reported - Nearline 137 EB (+14% q/q, +52% y/y); mass-capacity 151 EB; mass-capacity revenue >$2B.
- **2025-07-29** - Earnings - Forward - Mid-20s CAGR reaffirmed; CFO: 'We are increasing exabytes, we are not increasing units.'
- **2025-10-28** - Earnings - Reported - Data-center 159 EB; total 182 EB (+32% y/y); ~80% of nearline volume at 24TB or above.
- **2025-10-28** - Earnings - Forward - Mid-20% CAGR held; video-AI upside 'something we continue to grapple with', still studying.
- ▲ **2025-12-01** - UBS Global Tech & AI Conf - Forward - Supply/demand gap 'has actually grown' in the last six months; 25% EB CAGR model; AI video named a new driver.
- **2025-12-09** - Nasdaq Investor Conf - Forward - Demand 'even a bit stronger' than at the May Investor Day; ~25% industry EB growth 'enough to serve the short term'.
- **2026-01-27** - Earnings - Reported - Data-center 165 EB (+4% q/q, +31% y/y) on flat units; cloud nearline averaging ~26TB/drive.
- **2026-01-27** - Earnings - Forward - Mid-20% model; 'we have done it a bit better'; no CY26 EB guide.
- **2026-02-25** - Bernstein TMT Forum - Forward - ~25% EB CAGR for the next 3-4 years; recent quarters 25-30%; video AI arriving 'faster and earlier'.
- **2026-03-03** - Morgan Stanley TMT Conf - Forward - ~25% CAGR; 30-to-40TB migration lifts EB >30%; demand above Investor Day expectations.
- **2026-04-28** - Earnings - Reported - Data-center 175 EB (+6% q/q, +47% y/y); total 199 EB (+39% y/y).
- **2026-04-28** - Earnings - Forward - Mid-20% reiterated; nearline 'almost fully allocated through calendar 2027'; CY28 planning talks under way.
- **2026-05-18** - J.P. Morgan TMC Conf - Forward - Mid-20s growth via areal density; hyperscalers give 'two, three, four-year visibility'; demand 'significantly higher' than BTO window.
- **2026-05-27** - TD Cowen TMT Conf - Forward - ~25% EB growth with no unit adds; customer demand for years 2-4 'way higher than what we have in our plan'.

- **2026-06-02** - BofA Global Tech Conf - Forward - '25% more exabyte every year'; demand higher than expected 'a year ago or six months ago'.
- ▲ **2026-07-28** - Earnings - Reported - Data-center 195 EB (+11% q/q, +43% y/y); total 218 EB (+34% y/y); data center 89% of EB.
- **2026-07-28** - Earnings - Forward - Mid-20% 'over the next few years' reiterated; declined to commit to sustaining >30%.
- **2026-09-09** - Citi Global TMT Conf - Forward - 'At least 25% CAGR' for the next 2-3 years; quarterly EB lumpy on HAMR transitions; gap 'a little bit increasing'.
- **2026-09-10** - Goldman Sachs Communacopia - Forward - No new % target; reframed to absolute EB, 'maybe a 50+%' more than three years ago.
- ▼ **2026-10-27** - Earnings - Reported - Nearline 198 EB (+24% y/y) but ~flat q/q after the June step-up; attributed to timing, not yields.
- **2026-10-27** - Earnings - Forward - 'Meaningful step-up in the December quarter'; mid-20% compound growth; quarterly growth 'may vary'.

Revenue per TB ($/TB)

- **2025-01-21** - Earnings - Reported - No $/TB disclosed; margin credited to 'ongoing price adjustment' and record capacity mix.
- **2025-01-21** - Earnings - Forward - 'Stable, consistent price increase quarter after quarter.'
- **2025-04-29** - Earnings - Reported - Mass-capacity revenue $1.7B on 133 EB; implied revenue/EB ~flat y/y, ~-3% q/q on mix (derived).
- **2025-04-29** - Earnings - Forward - 'We need to continue to get paid more and more'; increases vary by quarter with contract timing.
- **2025-05-22** - Analyst Day - Forward - Like-for-like up in small steps; 24-to-40TB migrations bring 'some dollar per terabyte erosion', split with customer.
- **2025-07-29** - Earnings - Reported - Gross margin helped by 'favorable mix' and 'ongoing pricing adjustment'; no $/TB figure.
- **2025-07-29** - Earnings - Forward - Like-for-like to 'slightly increase every time we negotiate a new build-to-order'.
- **2025-10-28** - Earnings - Reported - 'Slight decrease in the average price per terabyte' from mix shift to higher capacity.
- **2025-10-28** - Earnings - Forward - One-customer HAMR launch discount 'transitioning away fairly quickly, just a matter of a few more quarters'.
- **2025-12-01** - UBS Global Tech & AI Conf - Forward - Pricing 'very consistent' and 'not disruptive' for 10 quarters; new volume would sell above normal order prices.
- **2025-12-09** - Nasdaq Investor Conf - Forward - $/TB 'generally fairly flat' over ~10 quarters; outlook 'flat to maybe slightly up'.
- **2026-01-27** - Earnings - Reported - Revenue/TB 'relatively stable' with a modest sequential increase; ~-4% y/y figure went unchallenged.
- **2026-01-27** - Earnings - Forward - Sequential increase to continue into March; 'flat to slightly up is certainly possible'.
- **2026-02-25** - Bernstein TMT Forum - Forward - CY26 $/TB 'flat to slightly up'; first-purchase discount on new capacity points 'very small'.
- **2026-03-03** - Morgan Stanley TMT Conf - Forward - Y/y increase 'substantially higher' than sequential; declined 'flattish to low single-digit' framing.
- ▲ **2026-04-28** - Earnings - Reported - Mid-single-digit y/y data-center revenue/TB increase (revenue +55% vs EB +47%).
- **2026-04-28** - Earnings - Forward - 'We expect this trend to continue' for 'the next four quarters... and possibly even for longer'.
- **2026-05-18** - J.P. Morgan TMC Conf - Forward - Price steps up as BTO windows roll: 'We don't see that stopping'; spot-tests excess supply.
- **2026-05-27** - TD Cowen TMT Conf - Forward - 'Every quarter, you see that price up'; edge pricing rising faster with no POs and high NAND prices.
- **2026-06-02** - BofA Global Tech Conf - Forward - 'Pricing will continue to be better. Absolutely.' Did not dispute ~$13-14/TB contract vs ~2x spot.
- ▲ **2026-07-28** - Earnings - Reported - Price/EB ~+10% y/y (analyst calc, undisputed); HAMR launch-customer discount 'minimal', zero in September.
- **2026-07-28** - Earnings - Forward - September guide implies ~20%+ y/y; 'we take a little bit more pricing benefit' as the gap widens.

- **2026-09-09** - Citi Global TMT Conf - Forward - Pricing improving in 'every segment'; 'not super aggressive' and 'sustainable'.
- **2026-09-10** - Goldman Sachs Communacopia - Forward - Rejected 11% y/y as a run-rate ('No'); 'a little bit more emphasis on pricing' than at Investor Day.
- ▲ **2026-10-27** - Earnings - Reported - Implied mid-teens y/y; pricing up 'a little bit faster', partly passing through higher external component costs.
- **2026-10-27** - Earnings - Forward - 'I do not see the trend changing too much'; next gross-margin step-up 'mainly from pricing'.

HAMR / Mozaic ramp

- **2025-01-21** - Earnings - Reported - Qualified and ramping at the initial CSP; first ramp 'tougher than we expected'; sampling up to 36TB.
- ▼ **2025-01-21** - Earnings - Forward - Next ramp phase 2H CY25; no reiteration of the ~1M-unit target; 'a little bit more careful'.
- **2025-04-29** - Earnings - Reported - Second CSP qualification 'approaching the conclusion'; HAMR supply upside drove the beat.
- **2025-04-29** - Earnings - Forward - Broader cloud shipments 2H CY25; 'appreciable increase' in coming quarters; 'exact same plan'.
- **2025-05-22** - Analyst Day - Forward - 40% of nearline EB on HAMR exiting FY26, ~70% FY27, 80% FY28; 4+ ramp 1H CY26; 5+ volume 2H CY28.
- **2025-07-29** - Earnings - Reported - Three major CSPs qualified on Mozaic 3.
- **2025-07-29** - Earnings - Forward - 4+ qualification started; volume ramp 1H CY26, up to 44TB; 5TB/disk early CY28.
- ▲ **2025-10-28** - Earnings - Reported - Five global CSPs qualified on Mozaic 3+; >1M Mozaic drives shipped.
- **2025-10-28** - Earnings - Forward - 50% nearline EB crossover 2H CY26; 'slightly shifted left'; 4TB/platter yields 'still early'.
- **2025-12-01** - UBS Global Tech & AI Conf - Forward - Two of five customers qualifying 40TB; 40%/70% (FY26/FY27) reiterated; ramp 'a little bit outperformed'.
- **2025-12-09** - Nasdaq Investor Conf - Forward - 40TB first units 1H CY26, bigger ramp 2H; step-ups 30-40TB >30%, 40-50TB ~25%.
- **2026-01-27** - Earnings - Reported - >1.5M HAMR units in the quarter; 6 of top 8 CSPs qualified; 7TB/disk lab demo.
- **2026-01-27** - Earnings - Forward - Mozaic 4 (4TB/disk, ~40TB) ramp begins 'later this quarter'; strong CY27 impact.
- **2026-02-25** - Bernstein TMT Forum - Forward - HAMR >20% of nearline EB (analyst math); yields 'very good' but 'not equal to PMR'.
- ▲ **2026-03-03** - Morgan Stanley TMT Conf - Forward - Both 40TB customers qualified 'a few months earlier' than planned; 70% by June 2027 reiterated.
- **2026-04-28** - Earnings - Reported - Mozaic 4 revenue shipments from late March, up to 44TB; 75% of leading cloud customers shipping Mozaic.
- ▲ **2026-04-28** - Earnings - Forward - 70% of nearline EB on HAMR by end FY27; transition 'faster than what we were thinking'.
- **2026-05-18** - J.P. Morgan TMC Conf - Forward - 'Millions of HAMR drives'; 40TB then 50TB drives by end of CY27.
- **2026-05-27** - TD Cowen TMT Conf - Forward - Gen 3 (5TB/disk, 50TB) qualification starts end CY27; Gen 2 qualified 'a little bit earlier'.
- **2026-06-02** - BofA Global Tech Conf - Forward - 50TB qualification 'before the end of calendar 2027'; new-product cadence 18-24 months.
- **2026-07-28** - Earnings - Reported - HAMR ~40% of nearline EB run rate exiting FY26, on schedule; 'tens of millions' of lasers produced.
- **2026-07-28** - Earnings - Forward - 50% of HAMR EB on Mozaic 4+ exiting CY26; 70%-by-FY27 not explicitly reaffirmed ('on track').
- **2026-09-09** - Citi Global TMT Conf - Forward - Second-gen qualifications 'very fast'; 50TB qualification 'about a year from now'.
- **2026-09-10** - Goldman Sachs Communacopia - Forward - HAMR volume crossover 'by December'; 80-90% of data-center volume on HAMR in 'a couple of years'.
- **2026-10-27** - Earnings - Reported - Mozaic 4 ramping at two leading CSPs; Microsoft qualified HAMR+SMR; 8TB/disk lab demo.

- ▲ **2026-10-27** - Earnings - Forward - HAMR ~50% of nearline EB exiting CY26; 'more optimistic' on 5TB/platter timing; quick 6TB extension.

Gross margin

- **2025-01-21** - Earnings - Reported - Non-GAAP GM 35.5% (+220bp q/q), seventh straight gain; op margin 23.1%.
- **2025-01-21** - Earnings - Forward - GM up again in March; 'not focused on that old gross margin range'.
- **2025-04-29** - Earnings - Reported - 36.2% (+70bp q/q, +1,000bp y/y), eighth straight gain; op margin 23.5%.
- **2025-04-29** - Earnings - Forward - No GM guide; long-term target question deferred to the May 22 Investor Day.
- **2025-05-22** - Analyst Day - Forward - 40% GM at ~$2.6B quarterly revenue, then 50% incremental; no target above 40%.
- **2025-07-29** - Earnings - Reported - Record 37.9% (+170bp q/q); op margin 26.2%.
- **2025-07-29** - Earnings - Forward - September guide implies GM 'significantly' above Street's +20-50bp; 40% 'fairly soon'.
- ▲ **2025-10-28** - Earnings - Reported - 40.1% (+220bp q/q); incremental margin 'nearly 70%' vs 50% model; op margin 29%.
- **2025-10-28** - Earnings - Forward - December guide implies incremental above 50%; op margin ~30%.
- **2025-12-01** - UBS Global Tech & AI Conf - Forward - GM 'doubled in less than 10 quarters'; 'We do not have a specific target.'
- **2025-12-09** - Nasdaq Investor Conf - Forward - Gen-2 HAMR similar unit cost but >30% more TB, so cost/TB falls substantially.
- **2026-01-27** - Earnings - Reported - 42.2% (+210bp q/q); op margin 31.9%.
- **2026-01-27** - Earnings - Forward - March op margin to 'approach the mid-30s%'; revenue and profit up every CY26 quarter.
- **2026-02-25** - Bernstein TMT Forum - Forward - GM gap to WDC blamed on 'temporary' dual PMR/HAMR transition inefficiency.
- **2026-03-03** - Morgan Stanley TMT Conf - Forward - Already above 40% GM / 30% op targets; incrementals 'significantly better' than 50%.
- ▲ **2026-04-28** - Earnings - Reported - Record 47.0% (+480bp q/q); op margin 37.5%.
- ▲ **2026-04-28** - Earnings - Forward - June op margin 'lower 40%'; revenue growth target raised from low-to-mid teens to at least 20%.
- **2026-05-18** - J.P. Morgan TMC Conf - Forward - 70% incremental margin: 'I think it is sustainable' through the 4-to-5TB transition.
- **2026-05-27** - TD Cowen TMT Conf - Forward - June-quarter GM guide 'about 50%'; 'We don't see an end at this point yet.'
- **2026-06-02** - BofA Global Tech Conf - Forward - Beat Analyst Day indications 'every quarter'; 'not really' any reason incrementals weaken.
- ▲ **2026-07-28** - Earnings - Reported - 52.7% (+570bp q/q), 13th straight gain; op margin 44.6%.
- **2026-07-28** - Earnings - Forward - September op margin ~50% (implied GM ~57%); incrementals 'well above the 60%'.
- **2026-09-09** - Citi Global TMT Conf - Forward - June beat driven by pricing 'maybe even more than cost'; opex ~$300M flat for 3-4 quarters.
- **2026-09-10** - Goldman Sachs Communacopia - Forward - Incrementals '70+%' vs 50% framework; GM 'almost triple[d]' over three years.
- ▲ **2026-10-27** - Earnings - Reported - 57.8% (+510bp q/q; transcript also shows 67.8%, verify); op margin 50.7%; revenue $4.2B.
- **2026-10-27** - Earnings - Forward - December op margin 'towards the mid-50%' (50-55%); GM up every quarter of FY27.

Pricing posture (BTO / LTAs)

- **2025-01-21** - Earnings - Forward - Build-to-order gives 'good visibility'; all BTO commitments met despite the March supply miss.

- **2025-04-29** - Earnings - Forward - Negotiating agreements covering 1H CY26; no double-ordering; tariff pass-through a 'last resort'.
- **2025-05-22** - Analyst Day - Forward - ~70% of data-center volume on BTO, ~12 months visibility; pricing set 2-4 quarters ahead.
- **2025-07-29** - Earnings - Forward - Nearline 'largely spoken for through the middle of next calendar year'; demand above supply.
- ▲ **2025-10-28** - Earnings - Forward - High-capacity nearline committed under BTO through CY26; LTAs give 'clear visibility through calendar 2027'.
- **2025-12-01** - UBS Global Tech & AI Conf - Forward - CY26 firm orders; 2027-28 are EB-allocation agreements, not POs; warning signs 'not even close'.
- **2025-12-09** - Nasdaq Investor Conf - Forward - Firm POs cover 4-5 quarters; LTAs through CY27, 'in some cases even longer'.
- **2026-01-27** - Earnings - Forward - CY26 fully allocated, volume and price fixed; 1H CY27 orders open 'in the coming months'.
- **2026-02-25** - Bernstein TMT Forum - Forward - Pricing fixed only 4-5 quarters out; 'we could be more aggressive... but stability and visibility is very important'.
- **2026-03-03** - Morgan Stanley TMT Conf - Forward - Some early-2027 contracts already POs; every CY26 quarter guided up in revenue and profit.
- **2026-04-28** - Earnings - Forward - FY27 BTO contracts finalized or being finalized; 'vast majority' of capacity allocated next four quarters, 'not 100%'.
- **2026-05-18** - J.P. Morgan TMC Conf - Forward - BTO locks volume and price for 4-5 quarters; beyond that 'not really locked in'.
- **2026-05-27** - TD Cowen TMT Conf - Forward - LTAs are EB-based, 2-3+ years, converted to firm orders 4-5 quarters out.
- **2026-06-02** - BofA Global Tech Conf - Forward - Commits only volume it can surely produce; extra output sold at higher economics.
- ▲ **2026-07-28** - Earnings - Forward - 'Vast majority' of nearline allocated into CY28; customers seeking 2029+; upside EB sold above contract price.
- **2026-09-09** - Citi Global TMT Conf - Forward - LTAs cover 2-3 years with volume rising each year; 'not a lot of flexibility'; customers asking for more.
- **2026-09-10** - Goldman Sachs Communacopia - Forward - POs cover all of FY27; no trend change 'for the next many quarters'.
- ▲ **2026-10-27** - Earnings - Forward - LTAs through CY28, some cloud agreements to 2030; CY27 BTO pricing fixed; CY28 terms over next few quarters.

Capex

- **2025-01-21** - Earnings - Reported - $71M in the quarter; FCF $150M.
- **2025-01-21** - Earnings - Forward - FY25 capex at the low end of 4-6% of revenue.
- **2025-04-29** - Earnings - Reported - $43M; ~3% of revenue fiscal YTD.
- **2025-04-29** - Earnings - Forward - No added capex needed for the HAMR ramp.
- **2025-05-22** - Analyst Day - Forward - Model 4-6% of revenue, focused on PMR-to-HAMR; HDD 4-6% vs NAND 35%+ for similar bit growth.
- **2025-07-29** - Earnings - Reported - Q4 $83M; FY25 $265M (3% of revenue).
- **2025-07-29** - Earnings - Forward - FY26 steps up within 4-6% for tool replacement and 4/5TB-per-disk staging.
- **2025-10-28** - Earnings - Reported - $105M (~4% of revenue); FCF $427M.
- **2025-10-28** - Earnings - Forward - FY26 within the 4-6% range.
- **2026-01-27** - Earnings - Reported - $116M (~4% of revenue); FCF $607M (+42% q/q).
- **2026-01-27** - Earnings - Forward - FY26 'at the bottom of that range'; maintenance tools first; 10-year depreciation life.
- **2026-03-03** - Morgan Stanley TMT Conf - Forward - 4-6% unchanged; directed to HAMR tools and technology transition, not unit growth.

- **2026-04-28** - Earnings - Reported - $161M; ~4% of revenue YTD; FCF $953M (31% margin).
- **2026-04-28** - Earnings - Forward - FY26 within 4-6%.
- **2026-05-18** - J.P. Morgan TMC Conf - Forward - Tools added for technology transitions, not pure capacity.
- **2026-07-28** - Earnings - Reported - $187M; FY26 4.7% of revenue; FY26 FCF $3.1B.
- **2026-07-28** - Earnings - Forward - FY27 'well within' 4-6%.
- **2026-09-09** - Citi Global TMT Conf - Forward - 4-6% covers extra HAMR head cycle-time space and PMR heads/media; no step-up planned.
- **2026-09-10** - Goldman Sachs Communacopia - Forward - 'Disciplined with CapEx' for two or three years.
- **2026-10-27** - Earnings - Reported - $211M (~5% of revenue), highest in the window; record FCF ~$1.5B.
- **2026-10-27** - Earnings - Forward - FY27 4-6% is 'plenty'; adding tools to offset longer HAMR cycle times.

Seagate unit capacity

- ▼ **2025-01-21** - Earnings - Reported - PMR 24/28TB production miss cost ~$200M of March revenue, 'not coming back'.
- **2025-01-21** - Earnings - Forward - No head or media unit adds; supply issues persist 'for the next few quarters'.
- **2025-04-29** - Earnings - Reported - PMR wafer-level issue fixed.
- **2025-04-29** - Earnings - Forward - Demand 'above supply'; EB growth from areal density only.
- **2025-05-22** - Analyst Day - Forward - No added heads or disks for 'the next couple of years'; 1 EB needs 25k 40TB drives vs 42k 24TB.
- ▲ **2025-07-29** - Earnings - Forward - ~160 EB mass-capacity ceiling 'not a wall so much anymore'; 'not really trying to add gross capacity'.
- **2025-10-28** - Earnings - Forward - 'Not really adding unit capacity'; gap 'a little bit bigger every quarter'; shifted edge supply to cloud.
- **2025-12-01** - UBS Global Tech & AI Conf - Forward - HAMR's longer head and test cycle times pressure unit output; would take TDK heads only short-term.
- **2025-12-09** - Nasdaq Investor Conf - Forward - No unit expansion: 'we don't see any reason to do it'.
- **2026-01-27** - Earnings - Reported - EB +26% y/y on flat units.
- **2026-01-27** - Earnings - Forward - Factories 'fairly full'; Mozaic 3 volume held back to convert lines to 4TB/platter.
- **2026-02-25** - Bernstein TMT Forum - Forward - 'Our factories are full'; 'no interest in adding units'.
- **2026-03-03** - Morgan Stanley TMT Conf - Forward - BOM fixed at 10 disks / 20 heads; 3-to-4TB/disk adds 33% vs ~10% from an extra disk.
- **2026-04-28** - Earnings - Forward - Factories 'full'; adding people 'would probably net net fewer exabytes'; PMR heads used to hold units flat.
- **2026-05-18** - J.P. Morgan TMC Conf - Forward - Wafer lead time >9 months; 'we can't really react on the upside'; unit capacity a 'wild card'.
- **2026-05-27** - TD Cowen TMT Conf - Forward - 'We are not adding any unit capacity'; greenfield 'at least two years'; head wafer cycle 6-9 months.
- **2026-06-02** - BofA Global Tech Conf - Forward - Factories 'a little bit max out'; no unit growth.
- **2026-07-28** - Earnings - Reported - FY26 units 'absolutely flat'; disks and heads per drive +15-20%.
- **2026-07-28** - Earnings - Forward - HAMR adds tool passes; wafer starts planned three to four quarters ahead.
- **2026-09-09** - Citi Global TMT Conf - Forward - HAMR heads need more wafer starts; PMR gains need +1 disk / +2 heads per drive.

- **2026-09-10** - Goldman Sachs Communacopia - Forward - Edge volume 'fairly stable because we cannot allocate more'.
- **2026-10-27** - Earnings - Forward - Adding tools to hold units stable; 'no technical reason' it can't add platters; gap 'probably growing'.

Competitor capacity (WDC / Toshiba)

- **2025-01-21** - Earnings - Forward - No WDC/Toshiba comment; industry 'getting more predictable'.
- **2025-04-29** - Earnings - Forward - Underserving demand 'probably true for other players'; QLC NAND threat 'niche'.
- **2025-05-22** - Analyst Day - Forward - 'Doesn't make any sense to build too much capacity'; HAMR 'not easy to copy', multi-year effort.
- **2025-10-28** - Earnings - Forward - 'The industry is not going to bring on more supply in three months'; TDK has no HAMR.
- **2025-12-01** - UBS Global Tech & AI Conf - Forward - Industry 'fairly well aligned' on EB over units; TDK heads mostly supply 'another HDD producer'.
- **2025-12-09** - Nasdaq Investor Conf - Forward - If rival HAMR has lower capacity per unit, Seagate keeps the best cost/TB.
- ▼ **2026-01-27** - Earnings - Forward - 'Supply has risen quite a bit in the last year... The industry has reacted pretty well.'
- **2026-02-25** - Bernstein TMT Forum - Forward - WDC has no HAMR yet; WDC's EB and GM lead 'temporary'; 'similar technology' eventually.
- **2026-03-03** - Morgan Stanley TMT Conf - Forward - Industry 'way more disciplined'; new entrants unlikely; sidestepped rival's heads-and-platters strategy.
- **2026-04-28** - Earnings - Forward - Dismissed a head supplier's ~40% y/y head growth: unit growth 'not happening'.
- **2026-05-18** - J.P. Morgan TMC Conf - Forward - Declined to comment on competitors' plans; industry adopting BTO.
- **2026-06-02** - BofA Global Tech Conf - Forward - Industry 'very disciplined', adding EB not units; contrasted with NAND fab adds.
- **2026-09-09** - Citi Global TMT Conf - Forward - Unit growth would 'change a little bit the dynamic between supply and demand'.
- **2026-09-10** - Goldman Sachs Communacopia - Forward - Industry 'disciplined with CapEx and with capacity addition'; 'no way PMR can keep up'.
- **2026-10-27** - Earnings - Forward - Rivals' 'technology solutions may differ'; adding capacity 'orders of magnitude more difficult'.

2. Tone over time

Scale: ●● very positive, ● positive, - mixed/neutral, ● negative, ●● very negative. Arrow = inflection. Blank = variable not addressed. Events split across four panels (oldest to newest).

Panel 1 of 4

Variable	2025-01-21 FQ2'25 Earnings	2025-04-29 FQ3'25 Earnings	2025-05-22 Investor Day 2025	2025-07-29 FQ4'25 Earnings	2025-10-28 FQ1'26 Earnings
Nearline EB shipments	●● Mass-cap 140 EB, +9% q/q; nearline 126 EB incl. VIA; CY24 nearline EB ~+60%; 'exabytes are going to continue to grow.'	● Mass-cap 133 EB, -5% q/q on PMR supply miss but +50% y/y; demand 'strong through CY25', visibility into 1H CY26.	●● Sets 'mid-20s' data-center EB CAGR for the next decade; 7.2 ZB of new nearline needed over four years.	●● Nearline 137 EB, +14% q/q, +52% y/y; mid-20s CAGR reaffirmed; 'increasing exabytes, not units' framing introduced.	●● Data-center 159 EB, total +32% y/y; ~80% of nearline at 24TB+; mid-20% held, video-AI upside still being studied.
Revenue per TB ($/TB)	● No $/TB disclosed; GM credited to 'ongoing price adjustment' and capacity mix; 'stable, consistent price increase' each quarter.	● Mass-cap revenue $1.7B on 133 EB, implied revenue/EB ~flat y/y; 'we need to continue to get paid more and more.'	● Like-for-like up in small steps; migrations to 32/40TB bring 'some dollar per terabyte erosion' shared with the customer.	● Like-for-like to 'slightly increase every time we negotiate' a BTO; mix to higher capacity lowers blended $/TB.	- 'Slight decrease in average price per terabyte' from mix; one-customer HAMR launch discount fades over 'a few more quarters.'
HAMR / Mozaic ramp	- ▼ First CSP ramp 'tougher than we expected'; next phase pushed to 2H CY25; ~1M-unit target dropped; 'a little bit more careful.'	● Second CSP qualification 'approaching conclusion'; HAMR supply upside drove the beat; broader cloud shipments 2H CY25.	●● Roadmap set: 40% of nearline EB exiting FY26, ~70% FY27, 80% FY28; 4+ ramp 1H CY26; 10TB/disk demo by 2028.	●● Three major CSPs qualified on Mozaic 3; 4+ qualification started with 44TB ramp 1H CY26; 5TB/disk early CY28.	●● ▲ Five CSPs qualified, >1M Mozaic drives shipped; 50% EB crossover 2H CY26, 'slightly shifted left'; 4TB yields 'still early.'
Gross margin	●● 35.5%, +220bp q/q, seventh straight gain; GM to rise again in March; 'not focused on that old gross margin range.'	●● 36.2%, +70bp q/q and +1,000bp y/y, eighth straight gain; long-term target question deferred to the May Investor Day.	● Model: 40% GM at ~$2.6B quarterly revenue, then 50% incremental; no target above 40%; revenue low-to-mid-teens CAGR.	●● Record 37.9%, +170bp; September guide implies GM 'significantly' above Street's +20-50bp; 40% 'fairly soon.'	●● ▲ 40.1%, +220bp, ~70% incremental versus the 50% model; December guide implies incremental above 50%; op margin ~30%.
Pricing posture (BTO / LTAs)	● BTO gives 'good visibility'; every BTO commitment met despite the ~$200M supply miss; rebuilt predictability protected.	● Negotiating 1H CY26 agreements; guide unchanged versus a month earlier; no double-ordering; tariff pass-through a 'last resort.'	● ~70% of data-center volume on BTO with ~12 months visibility; pricing now set 2-4 quarters ahead, not at quarter-end.	●● Nearline 'largely spoken for through the middle of next calendar year'; demand above supply; some June 'overpull' noted.	●● ▲ High-capacity nearline committed under BTO through CY26; LTAs give 'clear visibility through calendar 2027.'
Capex	● $71M in the quarter; FY25 capex at the low end of 4-6% of revenue; FCF $150M and improving through the year.	- $43M, ~3% of revenue YTD; no added capex needed for the HAMR ramp; continued US investment.	● Model of 4-6% of revenue focused on PMR-to-HAMR; HDD needs 4-6% versus NAND 35%+ for similar bit growth.	- FY25 $265M (3% of revenue); FY26 steps up within 4-6% for tool replacement and 4/5TB-per-disk staging.	- $105M, ~4% of revenue; FY26 within 4-6%; FCF $427M with expansion expected in December.
Seagate unit capacity	● ▼ PMR 24/28TB production miss cost ~$200M of March revenue, 'not coming back'; supply issues persist 'next few quarters.'	● PMR wafer issue fixed; demand 'above supply'; no head or media unit adds, so EB growth comes from areal density only.	● No added heads or disks for 'the next couple of years'; 1 EB needs 25k 40TB drives versus 42k 24TB drives.	● ▲ ~160 EB mass-capacity ceiling 'not a wall so much anymore'; 'not really trying to add gross capacity'; demand above supply.	● 'Not really adding unit capacity'; supply/demand gap 'a little bit bigger every quarter'; shifted edge supply to cloud.
Competitor capacity (WDC / Toshiba)	- No WDC or Toshiba comment; industry 'getting more predictable'; implied rival 'doesn't have to learn those same lessons.'	- No named comments; underserving demand 'probably true for other players'; QLC NAND threat called 'niche.'	● 'Doesn't make any sense to build too much capacity'; HAMR 'not easy to copy', a multi-year effort for anyone.		● 'Industry is not going to bring on more supply in three months'; warns against oversupply; TDK lacks HAMR.

Panel 2 of 4

Variable	2025-12-01 UBS Global Tech & AI Conf	2025-12-09 Nasdaq Investor Conf	2026-01-27 FQ2'26 Earnings	2026-02-25 Bernstein TMT Forum	2026-03-03 Morgan Stanley TMT Conf
Nearline EB shipments	●● ▲ First gap-widening language: supply/demand gap 'has actually grown' in six months; AI video named as a new driver.	●● Demand 'even a bit stronger' than at the May Investor Day; ~25% industry EB growth 'enough to serve the short term.'	●● Data-center 165 EB, +31% y/y on flat units; cloud averaging ~26TB/drive; running 'a bit better' than mid-20% model.	●● ~25% CAGR next 3-4 years with recent quarters at 25-30%; video AI arriving 'faster and earlier' than expected.	●● ~25% CAGR reiterated; 30-to-40TB migration lifts EB >30%; demand running above Investor Day expectations.
Revenue per TB ($/TB)	● Pricing 'very consistent' and 'not disruptive' for 10 quarters; incremental volume would sell even above normal order prices.	- $/TB 'generally fairly flat' over ~10 quarters; outlook 'flat to maybe slightly up' as mix offsets like-for-like increases.	● Revenue/TB 'relatively stable' with a modest sequential gain; ~-4% y/y unchallenged; 'flat to slightly up is certainly possible.'	● CY26 $/TB 'flat to slightly up'; first-purchase discount on new capacity points 'very small'; 11 quarters of rising profit.	● Y/y increase 'substantially higher' than sequential; declined the 'flattish to low single-digit' framing; holds into early 2027.
HAMR / Mozaic ramp	●● Five customers qualified, two on 40TB; 40%/70% FY26/FY27 HAMR EB targets reiterated; ramp 'a little bit outperformed.'	●● 40TB first units 1H CY26, bigger ramp 2H; step-ups 30-40TB >30%, 40-50TB ~25%; qualification takes 2-3 quarters.	●● >1.5M HAMR units in the quarter; 6 of top 8 CSPs qualified; 7TB/disk lab demo; Mozaic 4 ramp begins 'later this quarter.'	● HAMR >20% of nearline EB (analyst math); 4+ qualifying at two US clouds; yields 'very good' but still below PMR.	●● ▲ Both 40TB customers qualified 'a few months earlier' than planned; 70% by June 2027 reiterated; 'technology is not an issue anymore.'
Gross margin	●● GM 'doubled in less than 10 quarters'; 'we do not have a specific target'; gen-2 HAMR 'another boost' to cost/TB.	●● Gen-2 HAMR similar unit cost with >30% more TB; running 'better than' Investor Day; did not endorse 50%+ GM framing.	●● 42.2%, +210bp; op margin 31.9%; March op margin to 'approach the mid-30s%'; revenue and profit up every CY26 quarter.	● Similar or 'even better' gains ahead; GM gap to WDC blamed on 'temporary' dual PMR/HAMR transition inefficiency.	●● Already above 40% GM and 30% op targets; incrementals 'significantly better' than 50%; 'no reason' to reverse direction.
Pricing posture (BTO / LTAs)	●● CY26 firm orders; 2027-28 are EB-allocation agreements, not POs; downturn warning signs 'not even close.'	●● Firm POs cover 4-5 quarters; LTAs through CY27 'in some cases even longer'; won't push inventory onto customers.	●● CY26 fully allocated with volume and price fixed; 1H CY27 orders open 'in the coming months'; some customers discussing CY28.	●● Pricing fixed only 4-5 quarters out; 'we could be more aggressive... but stability and visibility is very important.'	●● Some early-2027 contracts already POs; each CY26 quarter guided up in revenue and profit; relationship partly structural.
Capex	- No capex figures; any added unit capacity would be self-funded; debt cut from >$6B to $4.5B.		● $116M, ~4% of revenue; FY26 'at the bottom' of 4-6%; FCF $607M, +42% q/q; maintenance tools first.		- 4-6% of revenue unchanged; directed to HAMR tools and technology transition rather than unit growth.
Seagate unit capacity	- HAMR's longer head and test cycle times pressure unit output; would take TDK heads only as a short-term fix.	● No unit expansion: 'we don't see any reason to do it'; aim is to be neither the bottleneck nor oversupplied.	● EB +26% on flat units; factories 'fairly full'; Mozaic 3 volume held back to convert lines to 4TB/platter.	● 'Our factories are full'; 'no interest in adding units'; no data-center project known to be held up for lack of drives.	● BOM fixed at 10 disks / 20 heads; 3-to-4TB/disk adds 33% versus ~10% from an extra disk; no greenfield.
Competitor capacity (WDC / Toshiba)	- Industry 'fairly well aligned' on EB over units; TDK heads mostly supply 'another HDD producer'; no Toshiba remarks.	● If rival HAMR has lower capacity per unit, Seagate keeps the best cost/TB; roadmaps supply enough EB without unit adds.	● ▼ 'Supply has risen quite a bit in the last year... the industry has reacted pretty well'; first nod to rising industry EB.	● WDC has no HAMR yet and faces a transition disruption; WDC's EB and GM lead called 'temporary'; no Toshiba comment.	● Industry 'way more disciplined'; new entrants unlikely as HAMR is required; sidestepped rival's added heads-and-platters strategy.

Panel 3 of 4

Variable	2026-04-28 FQ3'26 Earnings	2026-05-18 J.P. Morgan TMC Conf	2026-05-27 TD Cowen TMT Conf	2026-06-02 BofA Global Tech Conf	2026-07-28 FQ4'26 Earnings
Nearline EB shipments	●● Data-center 175 EB, +47% y/y; mid-20% reiterated; nearline 'almost fully allocated through CY2027'; CY28 talks begun.	●● Mid-20s via areal density; hyperscalers give 2-4 year visibility; demand 'significantly higher' than BTO window covers.	●● ~25% growth with no unit adds; customer demand for years 2-4 'way higher' than Seagate's plan: 'we could be wrong.'	●● '25% more exabyte every year'; demand above what was expected 6-12 months ago; recent quarters running above 25%.	●● ▲ Data-center 195 EB, +11% q/q, +43% y/y; mid-20% 'next few years' reiterated but declined to commit to >30%.
Revenue per TB ($/TB)	●● ▲ First quantified gain: mid-single-digit y/y data-center revenue/TB (revenue +55% vs EB +47%); 'trend to continue.'	●● Prices step up as BTO windows roll: 'We don't see that stopping'; spot-tests excess supply to find new price levels.	●● 'Every quarter, you see that price up'; edge pricing rising faster with no POs and tight NAND; cost/TB falling sharply.	●● 'Pricing will continue to be better. Absolutely.' Did not dispute ~$13-14/TB contract vs ~2x spot; edge now profitable.	●● ▲ Price/EB ~+10% y/y (analyst calc); September guide implies ~20%+; 'we take a little bit more pricing benefit.'
HAMR / Mozaic ramp	●● ▲ Mozaic 4 revenue shipments from late March; 70% of nearline EB on HAMR by end FY27; 'faster than what we were thinking.'	●● 'Millions' of HAMR drives shipped; Mozaic 3+ qualified at all planned CSPs, 4+ at two; 40 then 50TB by end CY27.	● Gen 3 (5TB/disk, 50TB) qualification starts end CY27; Gen 2 qualified 'a little bit earlier'; HAMR % 'around those percentages.'	● All important customers qualified on HAMR; 50TB qualification 'before the end of calendar 2027'; 18-24 month product cadence.	●● HAMR ~40% of nearline EB exiting FY26, on schedule; 'tens of millions' of lasers; 70%-by-FY27 not explicitly reaffirmed.
Gross margin	●● ▲ Record 47.0%, +480bp; op margin 37.5%; June op margin 'lower 40%'; revenue growth target raised to at least 20%.	●● 70% incremental margin: 'I think it is sustainable' through the 4-to-5TB transition; pricing could push it higher.	●● June GM guide 'about 50%'; 'we don't have a gross margin target... we don't see an end at this point yet.'	●● Beat Analyst Day indications 'every quarter'; 'not really' any reason for incrementals to weaken; upside volume priced higher.	●● ▲ 52.7%, +570bp, 13th straight gain; September op margin ~50% (implied GM ~57%); incrementals 'well above the 60%.'
Pricing posture (BTO / LTAs)	●● FY27 BTO contracts finalized or being finalized; 'vast majority' of capacity allocated next four quarters but 'not 100%.'	● BTO locks volume and price for 4-5 quarters; beyond is visible but 'not really locked in'; others adopting BTO.	●● LTAs are EB-based over 2-3+ years, converting to firm orders 4-5 quarters out; price duration three to five quarters.	●● Commits only volume it can surely produce; extra output sold at different, higher economics; 4-5 quarters firm.	●● ▲ 'Vast majority' of nearline allocated into CY28; customers seeking 2029+; upside EB sold above contract price.
Capex	● $161M, ~4% of revenue YTD; FCF $953M at a 31% margin; FY26 within 4-6%.	- No figures; tools added for technology transitions, not pure capacity; debt reduction first, then 75% of cash returned.		- Not discussed beyond 'no new factories'; ~$200M convert to be repurchased, then buybacks rise sequentially.	● $187M; FY26 4.7% of revenue; FCF $1.1B in the quarter and $3.1B for FY26; FY27 'well within' 4-6%.
Seagate unit capacity	● Factories 'full'; adding people 'would probably net net fewer exabytes'; PMR heads used to hold units flat.	- Wafer lead time >9 months, 'we can't really react on the upside'; unit capacity called a 'wild card' for edge AI.	● 'We are not adding any unit capacity'; greenfield takes 'at least two years'; head wafer cycle time 6-9 months.	● Factories 'a little bit max out'; no unit growth; extra output beyond commitments is the upside lever.	● FY26 units 'absolutely flat'; disks and heads per drive +15-20%; HAMR adds tool passes; wafers planned 3-4 quarters out.
Competitor capacity (WDC / Toshiba)	- Dismissed a head supplier's ~40% y/y head growth as not unit growth; no WDC or Toshiba comment.	- Declined to comment on competitors' plans; industry lead times long and players adopting build-to-order.	- 'Rational duopoly' framing raised by the analyst; no management comment on WDC, Toshiba or industry capacity.	● Industry 'very disciplined', adding EB not units; contrasted with NAND fab and capex additions.	

Panel 4 of 4

Variable	2026-08-25 Six Five Summit	2026-09-09 Citi Global TMT Conf	2026-09-10 Goldman Sachs Communacopia	2026-10-27 FQ1'27 Earnings
Nearline EB shipments	● Qualitative only: 80% of the world's data on data-center HDD; nearline to become 'preferential storage'; no EB figures.	●● 'At least 25% CAGR' next 2-3 years; quarterly EB lumpy on HAMR transitions; gap 'a little bit increasing.'	●● Pivots to absolute EB, 'maybe 50+%' more than three years ago; demand above supply in every segment including edge.	● ▼ Nearline 198 EB, +24% y/y but ~flat q/q, blamed on timing not yields; 'meaningful step-up' promised for December.
Revenue per TB ($/TB)		●● Pricing improving in 'every segment', 'not super aggressive' and 'sustainable'; revenue and profit up every FY27 quarter.	●● Rejected 11% y/y as a run-rate ('No') but more 'emphasis on pricing' than at Investor Day; edge pricing 'much better.'	●● ▲ Implied mid-teens y/y; pricing up 'a little bit faster', partly passing through component costs; next GM step 'mainly from pricing.'
HAMR / Mozaic ramp	● No HAMR specifics: 'we're going to keep driving density'; host referenced photonics and lasers without follow-up.	●● Second-gen qualifications 'very fast' versus slow gen 1; more 40TB customers 'fairly soon'; 50TB 'about a year from now.'	●● HAMR volume crossover 'by December'; 80-90% of data-center volume on HAMR in 'a couple of years'; 'no way PMR can keep up.'	●● ▲ HAMR ~50% of nearline EB exiting CY26; Microsoft qualified HAMR+SMR; 8TB/disk demo; 'more optimistic' on 5TB/platter timing.
Gross margin		●● June beat driven by pricing 'maybe even more than cost'; opex ~$300M flat 3-4 quarters; another 'very significant' increase.	●● Incrementals '70+%' versus the 50% framework; GM 'almost tripled' in three years; higher margin every FY27 quarter.	●● ▲ 57.8%, +510bp (transcript also shows 67.8%, verify); op margin 50.7%; December op margin 50-55%; GM up every FY27 quarter.
Pricing posture (BTO / LTAs)		●● LTAs 2-3 years with volume rising each year; 'not a lot of flexibility'; customers asking for more volume, no digestion.	●● POs cover the entire FY27; no trend change 'for the next many quarters'; delays would push demand out, not remove it.	●● ▲ LTAs through CY28 with some cloud deals to 2030; CY27 BTO pricing fixed; CY28 terms set over the next few quarters.
Capex		● 4-6% covers extra HAMR head cycle-time space plus PMR heads and media; no step-up planned; FCF $1.1B.	● No figures; 'disciplined with CapEx' for two or three years, positioning Seagate to manage a cycle turn.	- $211M, ~5% of revenue and highest in the window; tools added to offset HAMR cycle times; FY27 4-6% 'plenty.'
Seagate unit capacity		● Units flat; HAMR heads need more wafer starts and space; PMR gains need +1 disk / +2 heads per drive.	● 'This industry is selling exabytes, not units'; edge volume flat 'because we cannot allocate more.'	- Adding tools just to hold units stable; 'no technical reason' it can't add platters; supply/demand gap 'probably growing.'
Competitor capacity (WDC / Toshiba)		- Unit growth would 'change a little bit the dynamic'; no direct reply on peers' flattish unit framing.	● Industry 'disciplined with CapEx and capacity addition' for 2-3 years; 'no way PMR can keep up with HAMR.'	- Rivals' 'technology solutions may differ'; adding capacity 'orders of magnitude more difficult'; tight through 2028.

Where tone is inflecting

- **Pricing is the biggest inflection.** $/TB went from 'flat to maybe slightly up' (2025-12-09 to 2026-02-25) to mid-single-digit y/y (2026-04-28), ~10% (2026-07-28) and an implied mid-teens (2026-10-27). Management still calls it 'not super aggressive', and part of the latest step is component-cost pass-through.
- **Margin has outrun every framework.** GM rose from 40.1% to 57.8% in four quarters, and incrementals moved from the 50% Investor Day model to 'well above 60%'. Management has given no long-term GM target since December 2025.
- **EB shows its first soft print.** Nearline EB was ~flat q/q in the September quarter, which management attributed to timing. The 'mid-20s' CAGR has not moved in 18 months despite 40%+ y/y prints, so it now reads as a supply plan, not a demand forecast.
- **Competitor capacity is the sparse row, and that is a finding.** Toshiba was never named across 19 events. WDC was discussed once (2026-02-25). The only negative read was 2026-01-27 ('supply has risen quite a bit'). Management answers with industry 'discipline' language, not data.
- **Capex is creeping up while units stay flat.** Quarterly capex rose from $71M to $211M (3% to ~5% of revenue), and 2026-10-27 added tools 'to maintain stable unit production'. Holding units flat through HAMR now costs more each generation.

3. Fifteen questions for management

Nearline EB shipments

1. Nearline EB was roughly flat sequentially at 198 EB in September after the June step-up, and you called it timing. With units flat, how much of the 'meaningful step-up' in December is Mozaic 4 mix versus volume that slipped out of September?
2. You have held 'mid-20s' EB growth since the May 2025 Investor Day, while data-center EB grew 43-47% y/y in the March and June quarters. Is mid-20s now a supply ceiling, not a demand forecast? What would it take to plan for 30%?

Revenue per TB ($/TB)

3. In January the $/TB outlook was 'flat to slightly up'. By October the street was inferring mid-teens y/y, and you said part of that passes through component costs. How much of September's increase was cost pass-through versus true price, and do the CY28 LTAs index to component costs?
4. At BofA in June you didn't push back on ~$13-14/TB contract pricing against spot near 2x. As CY28 terms get set, are you resetting toward spot? Or does contract pricing stay deliberately below the clearing price in exchange for longer volume commitments?

HAMR / Mozaic ramp

5. The Investor Day path was 40% HAMR exiting FY26 and ~70% exiting FY27. You hit 40% and now guide ~50% exiting CY26. Is 70% by June 2027 still the bar? And is the binding constraint now head and laser cycle time instead of qualifications?
6. Mozaic 4 is ramping at two CSPs, with more qualifications in the next couple of months. When 4+ yields reach PMR parity, what is the cost-per-TB gap versus Mozaic 3? How many quarters is 4+ from that point today?

Gross margin

7. Gross margin went from 40.1% to 57.8% in four quarters, and you said the next step is 'mainly from pricing'. Of the FY27 incremental margin, how much comes from price and how much from Mozaic 4 cost-per-TB? Which is bigger in the second half?
8. In February you called your GM gap to Western Digital 'temporary', the cost of running PMR and HAMR at once. Now that you're ahead, how many points of FY27 margin still carry dual-technology inefficiency, and when do PMR heads and media fully convert?

Pricing posture (BTO / LTAs)

9. Visibility went from 'the middle of next calendar year' in July 2025 to LTAs through CY28, with some running to 2030. In the 2029-2030 agreements, what is actually binding: EB volume, price floors, or take-or-pay? What happens to them if industry capacity grows faster than demand?
10. In July you said customers pay above contract price for upside exabytes. Roughly what share of September-quarter EB was sold above contract or into the open market, and how wide is that premium versus LTA pricing today?

Capex

11. Quarterly capex rose from $71M to $211M, and you're now adding tools just to hold units flat through longer HAMR cycle times. If each generation needs more tools to stand still, does 4-6% of revenue still cover Mozaic 5 and 6, or does intensity drift to the top of the range?

Seagate unit capacity

12. In May you called unit capacity a 'wild card', and in October you said there's 'no technical reason' you can't add platters. At what price per TB or demand signal does an 11th disk pay off, given it adds only ~10% EB versus ~25% from the next areal-density step?

13. HAMR heads need more wafer starts and longer cycle times, and you've used PMR heads to keep units flat. As PMR runs off, is the head wafer fab the binding constraint in CY27? How far ahead are wafer starts committed today?

Competitor capacity (WDC / Toshiba)

14. Over nearly two years of calls you haven't mentioned Toshiba, yet Toshiba is adding nearline capacity and a head supplier cited ~40% y/y head growth. If the third player adds units while you hold units flat, how much share would it take before your CY28 pricing stance changes?

15. In February you said Western Digital still faces a HAMR transition disruption, and it is growing EB partly by adding heads and platters. Is head- and media-driven capacity growth at a competitor a bigger risk to industry discipline than a new HAMR entrant, and where would you see it first?

Generated 2026-10-29 10:24 ET - ~165k tokens est. (110k in / 55k out - 26 tool calls)